

Dinesh Chandra v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 10 May 2023 · 2023:AHC:100330-DB · Writ-C No. 10906 of 2023 · **Petition allowed to the extent indicated: the SMS demand of Rs. 3,35,581 was quashed as no final assessment order had been passed; a cost of Rs. 10,000 was imposed on the Electricity Department for harassment (recoverable from the erring officer); the electricity supply was directed to be restored forthwith, subject to the final outcome of the assessment; and liberty was reserved to finalise the assessment strictly in accordance with the U.P. Electricity Supply Code, 2005 after fresh fifteen days' clear notice.**

Source file: WRIC(A)_10906_2023.pdf

HEADNOTE

In a second round of litigation over a theft-based electricity assessment (an earlier writ having been disposed on 01.03.2023 on the Department withdrawing recovery and undertaking to pass a fresh order after hearing), the Division Bench held that under the U.P. Electricity Supply Code, 2005 the consumer must be given 15 days' clear notice for filing objections and personal hearing before a provisional assessment is treated as final; a notice dated 27.02.2023 fixing the hearing on 15.03.2023 but sent by registered post only on 03.03.2023 did not satisfy that requirement. The Bench further held that no demand of arrears could be raised before a final assessment order was passed: the Department having admitted that no final assessment order existed, there was no occasion to raise any demand, and the SMS demand of Rs. 3,35,581 was quashed. Noting repeated procedural violations and the consequent harassment of the consumer, the Court imposed a cost of Rs. 10,000 on the Department (recoverable from the concerned Executive Engineer, who had also been warned), directed forthwith restoration of the long-disconnected supply subject to the outcome of a fresh assessment, and recorded the Department's policy that costs or compensation awarded for non-compliance would be recovered from the erring officer. The petition was allowed to that extent, with liberty to finalise the assessment strictly per the Code.

FACTUAL SUMMARY

The petitioner, Dinesh Chandra, had earlier filed Writ-C No. 7179 of 2023 challenging demand notices dated 11.12.2019, 09.01.2020 and 11.01.2023 issued by the respondent-Electricity Department for recovery of electricity dues in a case of theft of electricity, on the ground that the procedure prescribed under the U.P. Electricity Supply Code, 2005 had not been followed. By order dated 01.03.2023 that petition was disposed of, the Department having withdrawn the impugned recovery and undertaken to pass a fresh order after affording an opportunity of hearing and following the Code. The petitioner then again approached the Court by Writ-C No. 10906 of 2023 challenging a fresh demand of Rs. 3,35,581 received by SMS, complaining that he had been served no notice and given no opportunity of hearing before finalisation. The Department relied on a notice dated 27.02.2023 requiring the petitioner to appear on 15.03.2023 with objections and evidence, failing which the provisional assessment would be treated as final; but that notice was sent by registered post only on 03.03.2023. In the affidavit of the Managing Director, Dakshinanchal Vidyut Vitaran Nigam Ltd., Agra, and the submissions of counsel, it was admitted that no final assessment order had yet been passed, that the concerned Executive Engineer had not complied with the Code and had been warned by order dated 05.05.2023, and that officers had been told that costs/compensation awarded against the Department for non-compliance would be recovered from them.

REUSABLE CONSTRUCTIONS

1. Under the U.P. Electricity Supply Code, 2005 the consumer must be given 15 days' clear notice to file objections and for personal hearing before a provisional assessment can be treated as final; a notice fixing the hearing on a date less than 15 clear days after it is posted (here, posted by registered post on 03.03.2023 for a 15.03.2023 hearing) does not satisfy the requirement. [order of 4.4.2023](#)
2. No demand for arrears of electricity dues can be raised until a final assessment order has been passed; where the licensee admits that no final assessment order exists, the demand (here an SMS demand) has no legal basis and is liable to be quashed. [order of 10.5.2023](#)
3. Where repeated procedural violations subject a consumer to harassment and force successive rounds of litigation, the Court may impose costs on the Electricity Department (recoverable from the erring officer), direct forthwith

restoration of a long-disconnected supply subject to the outcome of a fresh assessment, and treat officers as personally accountable for costs or compensation awarded for non-compliance. [order of 10.5.2023](#)

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.1(b)(iii)

RATIO

15 days' clear notice for objection and personal hearing is mandatory before finalising a theft assessment

QUESTION

Was the requirement of 15 days' clear notice for filing objections and personal hearing satisfied where the notice fixing a hearing on 15.03.2023 was sent by registered post only on 03.03.2023?

HOLDING

No. Under the U.P. Electricity Supply Code, 2005, 15 days' clear notice has to be given to the consumer for filing objection and personal hearing. The notice dated 27.02.2023 required the petitioner to appear on 15.03.2023 but was sent by registered post only on 03.03.2023, so 15 days' clear notice was not given; on that footing the provisional assessment could not be treated as final, and the demand founded on it could not stand. [order of 4.4.2023](#)

EVIDENCE “Under U.P. Electricity Supply Code, 2005, 15 days clear notice has to be given to the consumer for filing objection and personal hearing which does not seem to have been complied with in the instant case as the notice itself was sent by registered post on 03rd March, 2023.” [order of 4.4.2023](#)

FLAG Source is an order-sheet across three dates (4.4.2023-10.5.2023); not paginated, and paragraph numbers restart each order, so pins reference the order dates. Final reasoned disposal on 10.5.2023 (Neutral Citation 2023:AHC:100330-DB).

HOLDING-UNIT · UP-2005::8.1

RATIO

No demand of arrears can be raised before a final assessment order is passed

QUESTION

Could the Electricity Department raise a demand of arrears (by SMS) before passing a final assessment order?

HOLDING

No. Counsel for the Department admitted that no final assessment order had been passed, and consequently there was no occasion to raise any demand of arrears of electricity dues. The SMS demand of Rs. 3,35,581 was therefore quashed, leaving it open to the respondents to finalise the assessment strictly in accordance with the Code after fresh clear notice. [order of 10.5.2023](#)

EVIDENCE “admits that till date the final assessment order has not been passed. Consequently, there was no occasion for the respondent-Electricity Department to raise any demand of arrears of electricity dues.” [order of 10.5.2023](#)

EVIDENCE “Having regard to the aforesaid stand, we quash the demand made by the respondent-Electricity Department from the petitioner by sending SMS on his mobile phone.” [order of 10.5.2023](#)

PRINCIPLE TAGS

15-days-clear-notice-mandatory-before-final-theft-assessment A notice posted on 03.03.2023 for a 15.03.2023 hearing did not give the 15 days' clear notice the Code requires, so the provisional assessment could not be treated as final. [order of 4.4.2023](#)

no-demand-or-recovery-before-final-assessment-order The Department admitted that no final assessment order had been passed, so the SMS demand of Rs. 3,35,581 had no legal basis and was quashed. [order of 10.5.2023](#)

costs-and-officer-accountability-for-procedural-harassment Repeated procedural violations causing consumer harassment drew a Rs. 10,000 cost on the Department recoverable from the erring Executive Engineer, restoration of the disconnected supply, and a recorded policy of recovering awarded costs from non-complying officers. [order of 10.5.2023](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE MERITS AND QUANTUM OF THE THEFT ASSESSMENT AGAINST THE PETITIONER

Left open; the demand was quashed for want of a final assessment order and the respondents were given liberty to finalise the assessment afresh strictly in accordance with the Code after 15 days' clear notice. [order of 10.5.2023](#)

RELATED CASES — SEE ALSO

SCJ-2633 — Shwetanshu Kumar Ojha (2023) — companion order of the same Bench (Court No. 21): a mechanical theft assessment under Clause 8.1 set at naught, recovery withdrawn on the Managing Director's affidavit.

SCJ-2634 — Premveer Shah (2024) — companion order of the same Bench: an assessment quashed for non-compliance with Clause 6.8 r/w Section 126 after the licensee's own inquiry found no theft.

SCJ-014 — Chunni Lal Gupta (2014) — Clause 8.1(b)(iii): the consumer must be served the provisional theft assessment and given time to respond before it is finalised.

SCJ-2596 — Sunil Kumar Sahani (2021) — a Clause 8.1 provisional theft assessment does not attain finality merely because no objection was filed.

SCJ-1072 — Theft-dues recovery without prior provisional assessment (2013) — recovery cannot stand where no provisional assessment preceded the final assessment and recovery.